



March 14, 2025

Via Electronic Mail

Networking and Information Technology Research and Development Program
National Coordination Office
2415 Eisenhower Avenue, Alexandria, VA 22314
Attention: Faisal D'Souza

Re: Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

Ladies and Gentlemen:

The Bank Policy Institute¹ is writing to respond to the *Request for Information on the Development of an Artificial Intelligence (AI) Action Plan* issued by the Networking and Information Technology Research and Development National Coordination Office and National Science Foundation on behalf of the Office of Science and Technology Policy.² We welcome the opportunity to contribute to the development of an AI Action Plan for President Trump's second Administration.³

BPI and its member banks are strongly committed to using artificial intelligence to improve the efficiency and sophistication of their systems and thereby advance the interests of U.S. consumers and businesses. As the Bipartisan House Task Force on Artificial Intelligence noted,

¹ The Bank Policy Institute is a nonpartisan public policy, research and advocacy group that represents universal banks, regional banks, and the major foreign banks doing business in the United States. The Institute produces academic research and analysis on regulatory and monetary policy topics, analyzes and comments on proposed regulations, and represents the financial services industry with respect to cybersecurity, fraud, and other information security issues.

² *Request for Information on the Development of an Artificial Intelligence (AI) Action Plan*, 90 Fed. Reg. 9,088 (Feb. 6, 2025), <https://www.federalregister.gov/documents/2025/02/06/2025-02305/request-for-information-on-the-development-of-an-artificial-intelligence-ai-action-plan>.

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“the financial services sector has employed artificial intelligence technologies for decades” across a variety of applications.⁴

Among AI’s most critical uses in the U.S. banking system is to counter the efforts of malicious foreign and domestic actors. Last year, the House Committee on Financial Services’ Bipartisan Working Group on Artificial Intelligence noted that fraud detection has been financial services’ top AI use case.⁵ In certain instances, AI has reduced fraud activity⁶ and investigation time⁷ by half. Additionally, Treasury has emphasized AI’s significant benefits in anti-money laundering, countering the financing of terrorism, and sanctions compliance.⁸ Overly burdensome AI examination of banks has significantly hindered these efforts to use AI to defend the U.S. financial system and thus made it more difficult to combat foreign threats.

Banks’ use of AI goes beyond risk mitigation and benefits banks and their customers. Recently, BPI cataloged bank use cases of traditional and generative AI, such as using generative AI to scan news articles to assist employees in creating thematic investing indexes or using traditional AI to recommend the best action or product for customers based on historical and other relevant data.⁹ The BPI membership continues to develop cutting-edge use cases, such as considering partnerships to use agentic AI for consumer loan origination and generative AI to simplify commercial card requests.

Banks have long made risk management a core pillar of their operations, integrating it into financial, operational, cyber, and emerging technology strategies. Their robust governance structures and independent risk functions ensure continuous oversight through internationally recognized frameworks. This extends to IT risk management, including AI, where banks apply rigorous third-party risk protocols, cybersecurity measures, and compliance mechanisms. AI-

⁴ *Report on Artificial Intelligence*, BIPARTISAN H. TASK FORCE ON ARTIFICIAL INTELLIGENCE, 118th Cong., at xviii (Dec. 2024), https://republicans-science.house.gov/_cache/files/a/a/aa2ee12f-8f0c-46a3-8ff8-8e4215d6a72b/6676530F7A30F243A24E254F6858233A.ai-task-force-report-final.pdf (“House AI Report”).

⁵ *AI Innovation Explored: Insights into AI Applications in Financial Services and Housing*, Staff Report, BIPARTISAN WORKING GROUP ON ARTIFICIAL INTELLIGENCE, H. COMM. ON FIN. SERVS., 118th Cong., at 15 (July 18, 2024), https://financialservices.house.gov/uploadedfiles/bipartisan_working_group_on_ai_staff_report.pdf (“HFSC AI Report”).

⁶ *Managing Artificial Intelligence-Specific Cybersecurity Risks in the Financial Services Sector*, U.S. DEP’T OF THE TREASURY, at 3 (Mar. 2024), <https://home.treasury.gov/system/files/136/Managing-Artificial-Intelligence-Specific-Cybersecurity-Risks-In-The-Financial-Services-Sector.pdf>.

⁷ HFSC AI Report, *supra* note 5, at 10.

⁸ House AI Report, *supra* note 4, at 229.

⁹ See Joshua Smith, *Comment on U.S. Treasury Request for Information on Uses, Opportunities, and Risks of Artificial Intelligence in the Financial Services Sector*, BANK POLICY INSTITUTE, at 4–8 (Aug. 12, 2024), <https://bpi.com/wp-content/uploads/2024/08/BPI-Treasury-AI-RFI-Response-2024-4878-9975-4705-v10.pdf>.

related risks—such as bias, fairness, and explainability—are managed within established enterprise risk frameworks, just as banks handle credit, market, and operational risks.¹⁰

When banks use AI, whether traditional or generative, or any other emerging technology, they must adhere to an oppressive regulatory and supervisory framework that does not exist for other industries. Federal Reserve Governor Michelle Bowman recently stated that, though AI “is on the frontier of technology, it does not operate outside the existing legal and regulatory framework”; in fact, “[w]hen AI is deployed in a bank, an even *broader* set of requirements may apply.”¹¹ While this framework can help effectively manage risks, its cumulative effect can stifle innovation and overlook the risks of not innovating and deploying new technology fast enough. As Vice President J.D. Vance noted, “[E]xcessive regulation of the AI sector could kill a transformative industry just as it’s taking off.”¹² Eliminating government mandates that divert bank resources away from managing material risks and driving innovation should be part of the Administration’s campaign “to encourage pro-growth AI policies.”¹³

Banking services underlie a significant portion of economic activity and are essential to the commercial transactions and financial relationships that support U.S. economic growth and national security. Any comprehensive plan for U.S. AI dominance must recognize banks’ central role in national success. To maintain and strengthen U.S. AI dominance, banks must not only adopt AI without excessive controls but have the freedom and incentives to drive AI innovation. Therefore, we urge the Administration to adopt the following as high-priority policy actions for its AI Action Plan.

I. The Administration should direct the federal banking regulators to encourage rather than discourage banks’ AI use.

Few sets of regulation are more burdensome than those covering banks; furthermore, unlike other industries, the U.S. banking system is both regulated *and* subject to on-site examinations from numerous regulators, including the Federal Reserve, Office of the Comptroller of the Currency, the Federal Deposit Insurance Corporation, and the Consumer Financial Protection Bureau. Those agencies look to whether a given bank’s adoption of novel technologies such as AI complies with law, regulation, and safe and sound practice, and federal supervisors

¹⁰ For a discussion of banks’ extensive AI risk management, see *Navigating Artificial Intelligence in Banking*, BITS, BANK POLICY INSTITUTE (April 8, 2024), <https://bpi.com/navigating-artificial-intelligence-in-banking/>.

¹¹ Gov. Michelle Bowman, *Artificial Intelligence in the Financial System*, Remarks at the 27th Annual Symposium on Building the Financial System of the 21st Century, FEDERAL RESERVE (Nov. 22, 2024), <https://www.federalreserve.gov/newsevents/speech/bowman20241122a.htm>; see also House AI Task Report, *supra* note 4, at 229 (“The use of AI does not absolve regulated entities from complying with applicable laws and regulations.”)

¹² Vice President J.D. Vance, *Remarks by the Vice President at the Artificial Intelligence Action Summit in Paris, France*, AMERICAN PRESIDENCY PROJECT (Feb. 11, 2025), <https://www.presidency.ucsb.edu/documents/remarks-the-vice-president-the-artificial-intelligence-action-summit-paris-france>.

¹³ *Id.*

draw upon unique model risk management guidance¹⁴ (“MRM guidance”) that directs banks how to use models, including certain AI models. MRM guidance and related authorities review inputs and assumptions, outputs, bias, precision, accuracy, robustness, stability, and reliability; model validation, development, testing, and use; governance, including board oversight and personnel requirements; relevant third-party relationships; and more.¹⁵ In relation to their use of AI, banks are also subject to consumer protection and fair lending laws, privacy and data protection laws, and general requirements to, at all times and in all cases, operate in a safe and sound manner.¹⁶

Despite the extraordinary time banks spend on compliance matters and the voluminous banking regulations already applicable to AI described above, Gov. Bowman observes that bank examiners often adopt “a ‘more is better’ approach to regulation and guidance” that “fails to address [...] the perception (and perhaps reality?) that regulators have been overly hostile to innovation, including [...] the use of artificial intelligence.”¹⁷ She rightfully recommends that regulators should instead “prioritize understanding the risks and benefits of new technologies

¹⁴ See *Guidance on Model Risk Management*, SR 11-7, FEDERAL RESERVE (Apr. 4, 2011) <https://www.federalreserve.gov/supervisionreg/srletters/sr1107.htm>; *Supervisory Guidance on Model Risk Management*, OCC 2011-12, OFFICE OF THE COMPTROLLER OF THE CURRENCY (Apr. 4, 2011), <https://www.occ.treas.gov/news-issuances/bulletins/2011/bulletin-2011-12a.pdf>; *Adoption of Supervisory Guidance on Model Risk Management*, FDIC FIL-22-2017, FEDERAL DEPOSIT INSURANCE CORPORATION (June 7, 2017), <https://www.fdic.gov/news/financial-institution-letters/2017/fil17022.html>; *Model Risk Management, Comptroller’s Handbook*, OFFICE OF THE COMPTROLLER OF THE CURRENCY (Aug. 2021), <https://www.occ.gov/publications-and-resources/publications/comptrollers-handbook/files/model-risk-management/pub-ch-model-risk.pdf>; *Interagency Statement on Model Risk Management for Bank Systems Supporting Bank Secrecy Act/Anti-Money Laundering Compliance*, FEDERAL RESERVE, OFFICE OF THE COMPTROLLER OF THE CURRENCY, FEDERAL DEPOSIT INSURANCE CORPORATION (April 9, 2021). Under the term “MRM Guidance,” we also include other related materials.

¹⁵ Even when AI tools do not meet the formal definition of a “model” under MRM guidance, banks are still expected to apply “rigorous control[s]” to their use of technology. *Model Risk Management, Comptroller’s Handbook*, OFFICE OF THE COMPTROLLER OF THE CURRENCY, at 2 (Aug. 2021), <https://www.occ.gov/publications-and-resources/publications/comptrollers-handbook/files/model-risk-management/pub-ch-model-risk.pdf>.

¹⁶ As one indicator of the extraordinary volume of U.S. banks’ ultimate compliance burdens, a BPI survey found that such burdens have surged among member banks since 2016, with C-suite time devoted to compliance matters increasing by 75 percent, board time by 63 percent, and compliance staffing by 62 percent. By 2023, management teams were spending 42 percent of their time and boards 44 percent on regulatory and supervisory compliance. See generally, Joshua Smith and Benjamin Gross, *Survey Finds Compliance is Growing Demand on Bank Resources*, BANK POLICY INSTITUTE (Oct. 29, 2024), <https://bpi.com/survey-finds-compliance-is-growing-demand-on-bank-resources>. The survey defined “regulatory or supervisory compliance” as “compliance with law, regulation, guidance or other governmental mandate, including responding to mandates and recommendations from federal and state banking agencies, CFPB, SEC and other U.S. market and prudential regulatory agencies.” By contrast, the survey defined “risk management” as “risk management in the ordinary course unrelated to prudential regulatory or supervisory requirements.” By example, the survey noted that “credit underwriting is an ordinary risk management practice for any business lending money, regardless of any prudential regulatory or supervisory requirements.”

¹⁷ Gov. Michelle Bowman, *Bank Regulation in 2025 and Beyond*, Remarks at the Kansas Bankers Association Government Relations Conference, FEDERAL RESERVE (Feb. 05, 2025), <https://www.federalreserve.gov/newsevents/speech/bowman20250205a.htm>.

before developing a supervisory posture, especially when applying rules and using the ‘soft’ power of supervision to discourage its use.”¹⁸

The Administration has made clear that it will take an active role in ensuring alignment across the federal government, including regulatory agencies, with its priorities.¹⁹ Therefore, the Administration should direct leadership at the Agencies to take the following actions that ensure bank examiners focus on ultimate risk to safety and soundness.

1. An activity is not inherently riskier because it employs a particular technology, including machine learning, traditional AI, generative AI, or emerging innovations like agentic AI. Each activity requires a fact-specific risk assessment. In some cases, safe and sound banking practices may even *necessitate* AI adoption. For example, in certain instances, AI-driven fraud prevention tools have significantly *reduced* risk.
2. Deployments of AI should not be held to an unrealistic standard of perfection that exceeds expectations for traditional technology deployment or human decision-making.
3. Examination of AI tools should encourage banking innovation and focus on risks that are material to a bank’s safe and sound operation. In order to ensure that innovation is not hampered by bank examiners applying an overbroad standard of safety and soundness, the Agencies should codify that an “unsafe or unsound practice” is, consistent with leading case law, one that “threaten[s] the financial integrity of the institution,”²⁰ as BPI has advocated elsewhere.²¹

¹⁸ *Id.* See also Vice Chair Michael Barr, *Artificial Intelligence: Hypothetical Scenarios for the Future*, Remarks at the Council of Foreign Relations, FEDERAL RESERVE (Feb. 18, 2025), <https://www.federalreserve.gov/newsevents/speech/barr20250218a.htm> (“The financial regulatory community should approach the changing landscape with agility and flexibility.”)

¹⁹ *Ensuring Accountability for All Agencies*, Executive Order, THE WHITE HOUSE (Feb. 18, 2025), <https://www.whitehouse.gov/presidential-actions/2025/02/ensuring-accountability-for-all-agencies/>.

²⁰ *Johnson v. OTS*, 81 F.3d 195, 204 (D.C. Cir. 1996); see also *Gulf Federal Savings & Loan Association v. Federal Home Loan Bank Board*, 651 F.2d 259 (5th Cir. 1981) (“The breadth of the ‘unsafe or unsound practice’ formula is restricted by its limitation to practices with a reasonably direct effect on an association’s financial soundness.”); *Seidman v. Office of Thrift Supervision*, 37 F.3d 911 (3d Cir. 1994) (“The imprudent act must pose an abnormal risk to the financial stability of the banking institution.... Contingent, remote harms that could ultimately result in ‘minor financial loss’ to the institution are insufficient to pose the danger that warrants cease and desist proceedings.”); *Hoffman v. FDIC*, 912 F.2d 1172, 1174 (9th Cir. 1990) (requiring “abnormal risk or loss or damage to an institution, its shareholders, or the agencies administering the insurance funds”).

²¹ See, e.g., Joshua Smith, *Comment on Regulatory Publication and Review Under the Economic Growth and Regulatory Paperwork Reduction Act of 1996*, Dec. 2024 notice, BANK POLICY INSTITUTE (March 11, 2025), Sec. II.C., <https://bpi.com/bpi-addresses-rising-compliance-responsibilities-for-banks-in-egrpra-response/>. Additionally, a “matter requiring attention” should be defined as either an unsafe or unsound practice or a violation of law with material consequences that must be remediated. The Agencies should also strengthen due process in enforcement

4. Banks are subject to robust compliance and risk management frameworks that address their use of AI, including the MRM guidance, which was drafted before the advent of many of the recent advances in AI. The agencies should reform that guidance to be fit for purpose and remind examiners that, as codified in the Code of Federal Regulations, “[e]xaminers will not criticize [...] a supervised financial institution for, and the [agencies] will not issue an enforcement action on the basis of, a ‘violation’ of or ‘non-compliance’ with supervisory guidance.”²² Therefore, banks should have the discretion and flexibility to apply risk management practices appropriate to the specific risks of a particular AI use. No bank should be told that it cannot take an AI approach until its examiner “gets comfortable” with the technology; examination should focus on whether that system, once adopted, presents a safety and soundness problem or constitutes a violation of law. The risk of misplaced priorities would ultimately stifle innovation and threaten the long-term health and utility of the banking system.
5. To remain competitive, banks must be able to leverage the latest AI tools. Full transparency into the processes by which certain models generate outputs is not attainable for every organization. Therefore, examiners should focus on material risks to safety and soundness by looking to whether a bank understands where transparency is limited, has assessed the associated risks, and has implemented appropriate controls. The Administration should ensure that banks are *encouraged* to explore new AI techniques, such as by developing and implementing novel, low-risk use cases, to support U.S. innovation and competitiveness.
6. Examiners should ensure that new risk management approaches that are specifically adopted for emerging technologies like generative AI are not retroactively applied to established AI systems, such as machine learning, which banks have already adopted responsibly. For example, overly broad definitions of AI that would include established analytical methods, such as linear regression, must be avoided. The Administration

proceedings and, most critically, guarantee judicial review of administrative actions. These reforms will help ensure that examinations of banks’ use of AI do not stifle innovation through unchallengeable overreach or undue focus on immaterial risks.

²² See *Role of Supervisory Guidance*, 86 Fed. Reg. 18,173 (April 8, 2021), <https://www.federalregister.gov/documents/2021/04/08/2021-07146/role-of-supervisory-guidance> (Federal Reserve); 86 Fed. Reg. 9,253 (Feb. 12, 2021), <https://www.federalregister.gov/documents/2021/02/12/2021-01499/role-of-supervisory-guidance> (Office of the Comptroller of the Currency); 86 Fed. Reg. 12,079 (March 2, 2021), <https://www.federalregister.gov/documents/2021/03/02/2021-01537/role-of-supervisory-guidance> (Federal Deposit Insurance Corporation); 86 Fed. Reg. 9,261 (Feb. 12, 2021), <https://www.federalregister.gov/documents/2021/02/12/2021-01524/role-of-supervisory-guidance> (Consumer Financial Protection Bureau). Such proscribed criticism should include the issuance of matters requiring attention, matters requiring immediate attention, matters requiring board attention, documents of resolution, and supervisory recommendations. Additionally, the Agencies should ensure examiners understand that an AI aspect to a tool does not automatically qualify that tool as a model subject to MRM guidance. For example, MRM guidance states that a model includes a reporting component that “process[es] input data into quantitative estimates,” *Comptroller’s Handbook*, supra note 15. A bank could reasonably take the position that an AI tool with a qualitative output like text does not meet this definition

should primarily focus on generative AI and other emerging technologies, because traditional AI, such as machine learning, has reached a mature stage and is generally well-governed.

II. The Administration should ensure that banks are fairly situated with respect to third parties.

The Administration should ensure that banks are able contribute to AI innovation and competition just as well as technology providers and other nonbanks. Currently, however, banks face outsized regulatory hurdles to AI innovation, and these should be removed.

- A. Banks should not be required to indirectly regulate AI companies. Banks operate under regulatory frameworks that govern their use of third-party services, including AI tools.²³ While banks must conduct due diligence and ensure third-party tools adhere to applicable regulations, they often have limited visibility into proprietary third-party AI models. A bank's ability to secure contractual obligations and protections that ensure compliance with their regulatory obligations will vary according to its negotiating power. Large technology companies, which are not subject to the same technology oversight requirements as banks, can often resist disclosing critical information about their AI systems that is necessary for a bank's own compliance obligations.²⁴ Yet avoiding third-party AI services would likely render a bank unable to provide the services customers expect, the products non-bank competitors offer, or the systems needed to defend against bad actors.

It gets worse. "Fourth party vendor management" has now entered the examination lexicon — that is a requirement that banks conduct due diligence on their vendors' vendors' vendors. Such a requirement is impractical and a diversion of resources from true risks.

Therefore, policymakers should explore whether existing authorities can be leveraged to allow the banking regulators to address their concerns directly with third-party AI providers, rather than placing the burden on banks to ensure their vendors meet those standards. For example, the Bank Service Company Act authorizes the banking regulators to regulate and examine entities performing services for banks "to the same extent as if

²³ See, e.g., *Interagency Guidance on Third-Party Relationships: Risk Management*, 88 Fed. Reg. 37,929 (June 9, 2023), <https://www.federalregister.gov/documents/2023/06/09/2023-12340/interagency-guidance-on-third-party-relationships-risk-management> ("Conducting due diligence on third parties before selecting and entering into third-party relationships is an important part of sound risk management. [...] Due diligence includes assessing the third party's ability to: perform the activity as expected, adhere to a banking organization's policies related to the activity, comply with all applicable laws and regulations, and conduct the activity in a safe and sound manner.")

²⁴ Such information could include, among others, the type and timeframe of data used to train the system, limitations of the data or system, appropriate and inappropriate use cases, what the system does with data presented to it (e.g., whether input data is used for secondary purposes), as well as other technical information helpful to evaluating the model and related risks.

such services were being performed by” the bank itself.²⁵ As Gov. Bowman notes, the statute “gives the federal banking agencies significant regulatory authority over outsourced banking services.”²⁶ She rightfully states, “In a world where third parties are providing far more of these services [...] these providers should bear more responsibility to ensure the outsourced activities are performed in a safe and sound manner.”²⁷

- B. Banks should not be subject to AI requirements that exceed those for similarly situated nonbanks. Increased competition will ultimately drive AI innovation and help maintain U.S. dominance in AI, but fair competition requires that all parties be subject to similar regulatory rules. Therefore, to ensure competitive equity, the Administration should work with the agencies, and other relevant regulatory agencies, to ensure similar activities with similar risks are sensibly subject to similar regulation, regardless of whether a given activity is conducted by a bank or nonbank. Achieving a level playing field may require applying equivalent standards to nonbanks or reducing regulatory and supervisory requirements imposed on banks.

III. Any future AI policy steps affecting banks should be sector-specific, technology-neutral, principles- and risk-based, compatible with the current framework, and subject to extensive industry engagement.

The Administration should ensure policy reflects the following principles.

- A. To avoid policy fragmentation, AI policy for banks must be set by federal regulators with direct expertise in the U.S. banking system. The House AI Task Force has correctly recommended a “sectoral approach [...] to financial services regulation” that ensures “primary regulators” can “leverage their expertise.”²⁸ We agree that any future AI-related policies should originate from the agencies and remain consistent with the standards set forth in Sec. I above. AI policy applicable to banks should not be dictated by state legislatures, state agencies, or broadly applicable federal laws or regulations that do not reflect direct expertise in bank regulation and supervision.²⁹ Any AI-related laws or regulations at the federal, state, or local level should provide an entity-level exemption for

²⁵ 12 U.S.C. 1867(a).

²⁶ Gov. Michelle Bowman, *Welcoming Remarks*, Remarks at the Midwest Cyber Workshop, FEDERAL RESERVE, (Feb. 15, 2023) <https://www.federalreserve.gov/newsevents/speech/bowman20230215a.htm>.

²⁷ *Id.*

²⁸ House AI Report, *supra* note 4, at 240.

²⁹ See, e.g., Tara Payne, *California Privacy Proposal Overreaches, Undermines Federal Framework*, BANK POLICY INSTITUTE (Jan. 14, 2025), <https://bpi.com/california-privacy-proposal-overreaches-undermines-federal-framework/>.

banks already subject to federal oversight.³⁰ The Administration should explore methods to avoid harmful fragmentation in AI policy, including federal preemption.

- B. The banking regulators should continue to support a technology-neutral, principles- and risk-based approach that is compatible with the current framework. The House AI Report correctly affirms a “technology-neutral approach” and a “principles-based regulatory approach” to AI in financial services.³¹ This approach supports innovation because it “can accommodate rapid technological changes,” like those occurring in AI.³² A risk-based approach also sensibly tailors risk management requirements to underlying risk, with high-risk systems requiring greater controls and low-risk systems requiring fewer. Finally, to the extent possible, future policy approaches should not conflict with, or should be implemented through, existing governance frameworks. The Administration should avoid excessive governance or redundancy with existing requirements.
- C. Any additional policy steps should rely on significant industry engagement. Any further AI policy clarification from the agencies, including guidance, should follow a formal notice-and-comment process to ensure it reflects current technology, industry practices, and consumer interests. Additionally, standards bodies with technical expertise and deep industry engagement, such as the National Institute for Standards and Technology, should lead the development of globally interoperable technical standards and AI best practices. NIST is best situated to develop, in consultation with industry, best practices on critical and developing topics, such as Retrieval-Augmented Generation.

IV. The Administration should continue to engage in public-private partnerships to advance AI.

The Administration, banks operating in the United States, and the American public all benefit from public-private partnerships that foster collaboration between financial institutions and regulators. BPI, through its technology division BITS, has led significant industry-wide efforts with Treasury and the banking regulators to address large-scale issues that require public-private initiatives beyond a single firm. Much of this critical work occurs through the Financial Services Sector Coordinating Council³³ in conjunction with its public sector counterpart, the Financial and Banking Information Infrastructure Committee,³⁴ which have several workstreams to tackle identified challenges and opportunities, including AI explainability and AI-related fraud issues. We

³⁰ As an example, BPI is seeking an exemption from proposed California rulemaking for “financial institutions that are subject to examination or supervision by a federal prudential regulator and their affiliates as defined under the Bank Holding Company Act, 12 U.S.C. § 1841(k).” See, Joshua Smith, *Comments on Proposed Cyber, Risk, and ADMT Rules*, BANK POLICY INSTITUTE, at 24 (Jan. 14, 2025), <https://bpi.com/wp-content/uploads/2025/01/BPI-CPPA-cyber-privacy-and-AI-rulemaking-comment-2025.pdf>.

³¹ House AI Report, *supra* note 4, at vi; xix.

³² *Id.* at xix.

³³ See *About FSSCC*, FINANCIAL SERVICES SECTOR COORDINATING COUNCIL, <https://fsscc.org/>.

³⁴ See *About FBIIC*, FINANCIAL AND BANKING INFORMATION INFRASTRUCTURE COMMITTEE, <https://www.fbiic.gov/>

recommend that the Administration participate in this ongoing collaboration. Additionally, the Administration should support the creation of an industry framework and controls aligned with the NIST AI Risk Management Framework to ensure that AI risk management practices in the financial sector are both effective and consistent with regulatory expectations.

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The Bank Policy Institute appreciates the opportunity to comment. If you have any questions, please contact me by phone at (202) 589-2534 or by email at joshua.smith@bpi.com.

Respectfully submitted,

/s/ Joshua Smith

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